a renegotiation of the financial settlement. At that time the Finance Member, Sir Jeremy Raisman, was in England and Purshotamdas feared that since Sir Jeremy had negotiated the earlier settlement, pressure would be brought on him by Whitehall to support the modification. In this Purshotamdas was not wrong. To his lasting credit, Raisman spiritedly resisted any prejudicial revision of the Settlement arguing that India was too impoverished and politically restive to suffer more privation.

It was pointed out that the balances had been built up at great cost to India with the poor bearing the greater part of the burden. Birla linked the Bengal famine, long acknowledged to be a manmade disaster[8], to the forced contribution made by India to the war. Keynes, in a somewhat peculiar and twisted argument, asserted that since it was the British expenditure which was leading to inflation, relief could be afforded to the poor classes if the whole expenditure was debited to India. Birla described this peculiar argument as an 'insult to Indian intelligence'[9] and Purshotamdas asserted that the allocation of military expenditure had nothing to do with inflation, which was caused by the huge demand for goods and relatively inelastic supply. It was a classic case of too much money chasing too few goods. Keynes had also argued that India stood to gain from renegotiation, prompting Purshotamdas to remark that this 'sounds perilously like a veiled threat that the bigger the claim the less the chances of India's converting it from its blocked character into a multilaterally convertible asset.'[10]

Keynes also argued that if the financial settlement was revised, it would not increase the real burden on the people. Purshotamdas described this as 'fallacious' and 'cynical' arguing that the entire sacrifice of resources in real terms was met by India in the present regardless of whether any future financial claims against them were built up or not. The sacrifices of the war had led to great pent up demand for both consumer and capital goods, and he held that it would make a big difference if the development programme, which ought to find pride of place in India's post-war plans, was financed out of India's accumulated sterling balances or from fresh savings. 'To say whether UK or India pays makes no difference, renders all savings and foreign lending meaningless.'[11] Keynes had also hinted in his argument that if India did not voluntarily reduce her sterling balances, then sterling itself may be depreciated leading to a compulsory reduction. Purshotamdas